

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: adequate

Top improvement

Size every lever against the gap before ruling one in or out. Two years of flat prices against roughly 38% input inflation makes pricing an obvious lever. A 10% price increase alone moves margin from about 6% to about 14.5%, while closing 16 points through cost alone would require cutting input cost per revenue dollar by about 28%. Run that comparison out loud before committing to a recommendation.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate opened with a clear hypothesis, set out explicit buckets, and stated where to start and why.

“Since revenue grew, this is almost certainly a cost problem, not a demand problem.”

“I’d start with COGS and labor since those are usually the two biggest lines in a coffee chain and the most likely to have moved on a two-year horizon.”

What needs work

The opening structure mixed levels, with revenue quality sitting alongside the cost buckets. Once the interviewer pushed, the candidate rebuilt it into a clean profit tree that split each cost into price and quantity and added below-the-line items specific to a net-margin question.

“Revenue quality isn’t really a cost bucket — it’s a driver that sits above the other two, so I’m mixing levels.”

“Cleaner version: Profit = Revenue minus Costs.”

“So I’d tighten it to revenue drivers, then cost drivers split by price versus quantity, then below-the-line items.”

The candidate never restated the CEO’s objective (find the root cause and reverse it) and never tied the buckets to that decision.

“I’d break it into three buckets. First, revenue quality: is the 15% growth coming from more transactions, higher ticket, or new store openings?”

Missed opportunities

Turn 1 opening, before laying out the buckets.

A great answer: “The CEO needs two things: what explains an 18-point margin drop despite 15% growth, and which levers reverse it. So I’ll structure around profit = revenue – costs. Revenue splits into volume × price, and costs into COGS, labor, and overhead. My hypothesis is unit costs rose while prices didn’t move, so I’ll check COGS first and then ask whether Brew & Bean has passed any of that through in pricing.”

Quantitative & Analytical Rigor

strong

What went well

The candidate set up the nested-percentage conversion correctly before computing, turning shares of COGS into points of revenue, and landed exactly on 58%.

“Two years ago COGS was 42 points of revenue. Beans were 25% of that — 10.5 points. Everything else was 75% — 31.5 points.”

“Apply the inflation: beans $10.5 \times 1.40 = 14.7$. Other inputs $31.5 \times 1.375 = 43.3$. Total = 58.0 points.”

The candidate decomposed revenue growth into roughly 5% traffic and 10% basket, narrating each step correctly.

“Transactions per store today: $\$2.4M / \$6.80 =$ roughly 353,000. Two years ago: $\$2.087M / \$6.20 =$ roughly 337,000.”

The candidate tied out the margin bridge as a sanity check and translated a COGS point into dollars.

“margin fell 18 points. COGS up 16 points, overhead up 2, labor flat — that’s 18.”

“A single point of COGS here is $\$4.8M$ on $\$480M$.”

What needs work

The candidate never sized how much the recommended levers could recover against the 16-point gap, and never quantified the pricing alternative that was rejected.

“Reformulation and procurement both lower cost per drink without testing demand.”

Missed opportunities

Turn 13, rejecting price increases without sizing them.

A great answer: "A 10% price increase with volume held flat takes COGS from 58% to about 52.7% of revenue. Total costs of 94 on 110 of revenue means margin goes from 6% to roughly 14.5%. Closing the same gap through cost alone would need roughly a 15% cut in input cost per drink. So let me compare those two paths before I choose."

Data & Exhibit Interpretation

strong

What went well

The candidate read the cost lines systematically and isolated COGS as the driver of 16 of the 18 points.

"COGS, clearly. Let me tie it out: margin fell 18 points."

"So COGS explains roughly 89% of the decline."

The candidate tested beans against the other inputs and recognized that non-bean inputs are the bigger contributor.

"Beans are only 25% of COGS; the other 75% grew almost as fast and is bigger in absolute terms."

The candidate stated the implication and asked for the next cut of the data.

"Those point to very different fixes, so I need to separate them."

"Do we have COGS broken out by input category, and ideally how each moved over the two years?"

What needs work

The candidate dismissed the 2-point overhead rise (about \$9.6M) without asking what drove it.

"Everything else is noise."

Missed opportunities

Turn 5, after tying out the 18-point bridge.

A great answer: "COGS is the story. Overhead's 2 points is still close to \$10M, so I'd quickly ask whether rent escalators or corporate costs drove it before setting it aside."

Business Judgment & Insight

needs work

What went well

The candidate correctly deprioritized labor and overhead and recognized the exposure to commodity volatility.

"I'd deprioritize labor at 22% and flat, and overhead's 2 points is small relative to 16."

"Coffee and dairy are both commodity-linked and both volatile — flat menu prices meant we took 100% of that volatility."

The candidate named concrete risks and proposed a pilot to contain them.

"Risks: reformulation can hurt quality perception; consolidation reduces supplier leverage if one fails."

What needs work

The candidate ruled out pricing using flawed logic. Bigger baskets at unchanged prices say nothing about pricing power, and the candidate later conceded this.

"Customers already handed us 10% more per ticket — \$6.20 to \$6.80 — and margin still fell to 6%."

"I'll concede I can't prove from this data that a price increase would fail."

The candidate read 5% traffic growth as evidence of fragile demand, which is backwards. Growing traffic with flat prices is a signal there may be room to price.

"And transaction growth is only 5%, so traffic isn't strong enough to absorb an elasticity hit."

The plan implicitly assumes cost levers alone can close a 16-point gap. That would require cutting input cost per dollar of revenue from 58 to 42 (about 28%), which is unrealistic and was never tested.

"Reformulation and consolidation lower the cost base permanently and make any future pricing move more valuable."

Missed opportunities

Turn 15, when the interviewer pointed out that menu prices were flat while input costs rose.

A great answer: "You're right. Two years of flat prices against roughly 38% input inflation is itself the clearest lever. I'd revise: take a selective 8–10% increase on less price-sensitive specialty drinks, test it in a few markets first, and pair it with procurement and portion discipline. Cost levers alone can't realistically recover 16 points."

Creativity & Brainstorming

adequate

What went well

The candidate organized the brainstorm into three lever families with concrete sub-ideas.

"Three lever families."

"Portion standardization, default milk choices, syrup dosing, right-sizing cups and lids."

The candidate included a non-obvious behavioral lever: menu layout and defaults.

"Three, mix engineering without price changes — steering customers toward drinks we already make profitably through menu layout and defaults, rather than charging more."

What needs work

Variety was narrow. Every family targeted cost or mix, and the candidate deliberately excluded any revenue or pricing lever.

| *"mix engineering without price changes"*

The three families were not ranked or sized against each other inside the brainstorm.

| *"Consolidating to fewer suppliers, longer contracts, forward-buying or hedging beans."*

Missed opportunities

Turn 11 brainstorm.

A great answer: "I'll split levers into revenue and cost. Revenue: targeted pricing, premium add-ons, loyalty-driven mix. Cost: procurement, recipe and portion standards, waste. Ranking by impact and speed, I'd put procurement contracts and pricing first, then portion standards, then mix engineering."

Synthesis & Recommendation

adequate

What went well

The candidate led with a committed, answer-first recommendation.

| *"My recommendation: do not raise menu prices. Instead, attack COGS directly through recipe reformulation on the highest-cost drinks and a supplier consolidation play."*

The candidate named risks and concrete next steps, including a pilot.

| *"Next steps: pull cost-per-unit by drink, map current supplier count, and pilot reformulation in 10 stores."*

What needs work

A central supporting reason misread the analysis. Basket growth at flat prices does not test pricing, and the candidate later conceded this rather than defending it.

| *"We effectively ran the 'extract more per visit' experiment and it bought us nothing."*

The recommendation never stated how many margin points it would recover against the 18-point decline.

| *"Reformulation and procurement both lower cost per drink without testing demand."*

Missed opportunities

Turn 13 final recommendation.

A great answer: "Brew & Bean should restore margin in two moves. First, selectively reprice specialty drinks, since prices have been frozen for two years while inputs rose about 38%. Second, lock in procurement contracts across beans, dairy, and packaging. Together these can plausibly recover 10+ points. The key risk is volume loss, so I'd pilot pricing in a few markets first."

Communication & Delivery

strong

What went well

The candidate was consistently top-down, signposting each analytic move before doing it.

| *"Let me check whether input inflation alone explains it."*

| *"Three lever families."*

The candidate used hypothesis-driven phrasing throughout and built directly on the interviewer's cues.

| *"Since revenue grew, this is almost certainly a cost problem, not a demand problem."*

| *"Fair push, and let me be precise about what I'm claiming."*

What needs work

Loose wording created an internal inconsistency that the interviewer had to untangle (diluting vs. neutral).

| *"So the incremental volume diluted rather than helped."*

Pushback, Composure & Case Leadership

adequate

What went well

The candidate acknowledged the MECE challenge specifically and rebuilt the structure.

| *"Fair challenge. It's mostly MECE but not fully."*

The candidate owned an overstatement cleanly and clarified the claim.

| *"Neutral is my claim."*

| *"That's a mix statement, not an elasticity statement. I'll concede I can't prove from this data that a price increase would fail."*

The candidate drove the case by proactively requesting relevant data.

| *"Do we know if procurement is centralized or store-by-store?"*

What needs work

After conceding the pricing logic, the candidate swapped in a new, unsized rationale instead of reconsidering pricing despite two pushes. This defense was somewhat rigid.

| *"I'd fix the denominator first."*

Missed opportunities

Turn 14: interviewer asked the candidate to defend rejecting price given flat menus and rising inputs.

| A great answer: "That's a fair hit. The basket data doesn't test pricing power, so my reason for rejecting price doesn't hold. I'll update: pricing goes back in as a primary lever alongside procurement, tested selectively."

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 1:30

Let me take a second to structure this.

So revenue is up 15% but net margin collapsed from 24% to 6% — that's a huge drop, roughly three-quarters of the margin gone. Since revenue grew, this is almost certainly a cost problem, not a demand problem.

I'd break it into three buckets. First, revenue quality: is the 15% growth coming from more transactions, higher ticket, or new store openings? Growth from new stores can drag margin if those stores are immature. Second, COGS — coffee beans, dairy, cups, syrups — on a per-unit basis. Third, operating costs: labor, rent, utilities, and any corporate overhead.

I'd start with COGS and labor since those are usually the two biggest lines in a coffee chain and the most likely to have moved on a two-year horizon.

To start: do we have a cost breakdown as a percentage of revenue for both the start and end of that two-year period?

Interviewer · 1:35

Hold that request for a moment; we'll come back to the cost breakdown. Looking at your three buckets, is that structure MECE, and what, if anything, is missing?

Candidate · 3:06

Fair challenge. It's mostly MECE but not fully. Revenue quality isn't really a cost bucket — it's a driver that sits above the other two, so I'm mixing levels. Cleaner version: Profit = Revenue minus Costs. Under revenue, volume (transactions, store count) and price/mix. Under costs, COGS, labor, occupancy, and corporate overhead, each split into price-per-unit and quantity consumed.

What's missing: anything below the operating line. Net margin, not gross or operating, so interest expense on new debt, D&A from a build-out, taxes, or one-time charges could be doing real work here. If they opened stores fast, depreciation and interest would both jump without touching unit economics at all.

Also missing: waste and shrink, which in coffee is a real line and hides inside COGS.

So I'd tighten it to revenue drivers, then cost drivers split by price versus quantity, then below-the-line items.

Interviewer · 3:08

COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Those are the current figures. Which line would you dig into first, and what would you do with it?

Candidate · 4:40

COGS, clearly. Let me tie it out: margin fell 18 points. COGS up 16 points, overhead up 2, labor flat — that's 18. So COGS explains roughly 89% of the decline. Everything else is noise.

Now, 58% COGS on a coffee chain is extreme. Specialty coffee traditionally runs 25–35% on beverage COGS because the whole model is cheap inputs and high markup. So something structural changed.

I'd split COGS two ways. First by input: coffee beans, dairy and alternative milks, syrups and flavorings, packaging, food items. Second by cause: did unit input prices rise, did we consume more per drink, or did the product mix shift toward more expensive drinks — think oat milk lattes and elaborate cold brews versus a drip coffee.

Those point to very different fixes, so I need to separate them.

Do we have COGS broken out by input category, and ideally how each moved over the two years?

Interviewer · 4:42

Coffee beans were 25% of COGS two years ago. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 6:15

Let me check whether input inflation alone explains it.

Two years ago COGS was 42 points of revenue. Beans were 25% of that — 10.5 points. Everything else was 75% — 31.5 points.

Apply the inflation: beans $10.5 \times 1.40 = 14.7$. Other inputs $31.5 \times 1.375 = 43.3$. Total = 58.0 points.

That's exactly where COGS sits today. So input price inflation alone fully accounts for the move. There's no evidence of waste, portion creep, or mix shift toward costlier drinks — and importantly, no evidence of any pass-through, because if menu prices had risen, COGS as a percent of revenue would have come in below 58.

That matters a lot for the recommendation, so let me confirm: do we have menu price history over the two years, and the split of the 15% revenue growth between transaction volume, ticket size, and new stores?

Interviewer · 6:17

Menu prices have not changed in two years. Average revenue per store is \$2.4M a year. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit.

Candidate · 7:49

Let me run the volume math. Revenue per store \$2.4M, 200 stores, so \$480M today; two years ago $\$480M / 1.15 = \$417M$, or about \$2.087M per store.

Transactions per store today: $\$2.4M / \$6.80 =$ roughly 353,000. Two years ago: $\$2.087M / \$6.20 =$ roughly 337,000. So transaction count is up only about 5%; the other 10% of growth is bigger baskets.

Here's what I find important. Menu prices are flat, so every dollar of input inflation hit the P&L unprotected. But also — customers already gave us 10% more revenue per visit, and margin still collapsed to 6%. That tells me the incremental items are not margin-accretive; they're carrying COGS at or above the blended rate. So "get more revenue per customer" has already been run as an experiment and it didn't relieve anything.

That pushes me toward attacking input cost per drink rather than the top line. Do we have cost-per-unit by drink type, or supplier counts?

Interviewer · 7:51

I don't have cost per unit by drink type or supplier counts. Beyond what we've discussed, what else could Brew & Bean do to reverse the margin decline? Take a moment and structure your ideas.

Candidate · 9:30

I'll assume no drink-level or supplier data and reason from what we have.

Three lever families.

One, input cost per drink — reformulation. Beans are only 25% of COGS; the other 75% grew almost as fast and is bigger in absolute terms. Portion standardization, default milk choices, syrup dosing, right-sizing cups and lids. A single point of COGS here is \$4.8M on \$480M.

Two, procurement structure. 200 locations is real scale. Consolidating to fewer suppliers, longer contracts, forward-buying or hedging beans. Coffee and dairy are both commodity-linked and both volatile — flat menu prices meant we took 100% of that volatility.

Three, mix engineering without price changes — steering customers toward drinks we already make profitably through menu layout and defaults, rather than charging more.

I'd deprioritize labor at 22% and flat, and overhead's 2 points is small relative to 16.

Do we know if procurement is centralized or store-by-store?

Interviewer · 9:37

That's not in the information I have. Given everything we've covered, what's your recommendation to the CEO?

Candidate · 11:07

My recommendation: do not raise menu prices. Instead, attack COGS directly through recipe reformulation on the highest-cost drinks and a supplier consolidation play.

The reasoning. COGS explains 16 of the 18 points of margin loss, and my math showed input inflation alone accounts for the entire move — 10.5 points of beans at 1.40 plus 31.5 points of other inputs at 1.375 lands exactly on 58. So this is a unit-cost problem, not a revenue problem.

Why I'm rejecting pricing, including selective pricing on premium drinks. Customers already handed us 10% more per ticket — \$6.20 to \$6.80 — and margin still fell to 6%. The incremental items were not margin-accretive. We effectively ran the "extract more per visit" experiment and it bought us nothing. Selective increases on premium drinks would likely push mix toward cheaper items without fixing the per-drink cost structure. And transaction growth is only 5%, so traffic isn't strong enough to absorb an elasticity hit.

Reformulation and procurement both lower cost per drink without testing demand.

Risks: reformulation can hurt quality perception; consolidation reduces supplier leverage if one fails.

Next steps: pull cost-per-unit by drink, map current supplier count, and pilot reformulation in 10 stores.

Interviewer · 11:12

You rejected price increases because the bigger baskets didn't relieve margin. Walk me through that logic, given that menu prices were flat while input costs rose.

Candidate · 12:42

Fair push, and let me be precise about what I'm claiming.

You're right that flat prices against rising inputs mechanically guarantees margin compression — that part isn't evidence about pricing power. What the basket data tells me is something narrower: the mix of items customers added was not margin-accretive. If those extra items had carried healthy margins, COGS as a share of revenue would have come in below 58%. It didn't — it landed exactly on the inflation-only number. So the incremental volume diluted rather than helped.

That's a mix statement, not an elasticity statement. I'll concede I can't prove from this data that a price increase would fail.

But my recommendation doesn't rest on elasticity. It rests on sequencing. A price increase restores margin only as long as it outruns inflation, and beans and dairy moved 37–40% in two years — we'd be re-pricing continually. Reformulation and consolidation lower the cost base permanently and make any future pricing move more valuable. I'd fix the denominator first.

Interviewer · 12:48

You said that if the extra items had carried healthy margins, COGS as a share of revenue would have come in below 58%. Walk me through that. What baseline are you comparing 58% against, and what does it show about those items?

Candidate · 14:18

The baseline is a counterfactual: take the old cost structure and inflate it, holding mix constant. Beans $10.5 \text{ points} \times 1.40 = 14.7$, other inputs $31.5 \times 1.375 = 43.3$, total 58.0. That's what COGS would be today if customers bought exactly the same basket as two years ago, just at new input prices.

Actual is 58%. So the mix effect is approximately zero.

What that implies is narrower than "the new items are bad." It implies the incremental items carry roughly the same COGS-to-price ratio as the existing blended basket — about 58 cents of input per dollar. They're not dilutive relative to the average, but they're not accretive either. A genuinely high-margin add-on, a pastry or a drip refill, would have pulled the blended ratio down below 58.

Two caveats I should flag. One, I'm applying those inflation rates to two-year-old weights, so it's approximate. Two, the rates are close enough — 37.5 versus 40 — that the result isn't sensitive to how mix shifted between the categories.

So: volume growth isn't rescuing us. The ratio itself has to change.

Interviewer · 14:20

Understood. You've now said the incremental items were both diluting and neutral to the blend. Which one is your claim, and does your recommendation change depending on the answer?

Candidate · 15:51

Neutral is my claim. I overstated it earlier when I said "diluting" — that was sloppy. The math supports one thing: the mix effect is approximately zero, so the incremental items carry roughly the blended COGS ratio of 58 cents on the dollar. They're margin-neutral

relative to the average, not value-destroying.

Does it change the recommendation? Not materially, and here's why. The point I actually need is that 10% more revenue per ticket did nothing to relieve the ratio — and under the neutral reading that's still true, just for a more boring reason. Adding more volume at the blended margin can't fix a blended margin problem. You can't scale your way out of a unit-economics problem when the incremental unit looks like the average unit.

Where it does matter: under the dilutive reading, I'd want to prune or re-engineer the add-on items. Under the neutral reading, I wouldn't — they're fine, they're just not the lever. That makes reformulation and procurement even more clearly the right focus, because there's no easy mix fix hiding in the basket.

Interviewer · 15:52

That's time. Thanks for working through it — your written report will follow.